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Richard Lipsey

Life story interview with Paul Thompson

2010

Principle investigator's thematic highlights

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Interviewed by Paul Thompson

22 November 2010

1: Father believed in university education

My father left school at the age of 12 to sell newspapers to support the family, took a job as office boy at 14, went to school at night school and learned accounting, and by 22, he was Assistant Manager, and he became Manager of the firm. Never went beyond half way through grade 8, and the one thing in his very successful life, he always felt sad when he was with his educated friends who had been to university, and he didn't understand what they were talking about, and he said - he vowed that, whatever else we did, we were going to university. Fortunately, all - myself and my two sisters - wanted to go, so we had no conflict with the parents in that way! (p 1)

2: *Positive Economics*

This was a conclusion of a research project that I formed when I was an undergraduate, which is, "What's wrong with Lionel Robbins' position that economics is founded on intuitively obvious truths, and the test is, do they appeal to your intuition… Facts are an illustration, but not a test of the theory". And this really worried me. And then when I found myself a member of Lionel's staff, I talked around and found some of the other young people were disturbed by this kind of methodology, in that all you did was sit around and argue whether this appealed to your intuition or not, to test your theories. And we formed the LSE Seminar on Methodology Measurement and Testing – now called "The M²T Seminar" – and we read Popper and talked to Yosel Gassi and other people, and slowly came to the conclusion that the Popperian view was the right one, and the Robbins view was the wrong one.

So I wrote *Positive Economics* in a fit of proselytising to try and say that the way to study economics, and the way to judge its validity is, does it make statements that are consistent with the evidence? That was the whole purpose of it. Before I wrote that book, most people in England, in Economics Departments, sat around arguing about the intuitive plausibility of the theories, and when the book was finished, they spent their time saying, "Well, let's see how we could test the theories"! (LAUGHS)

I mean, other people, like Cowell's Commission, of course had been on to the same thing, but the prevailing methodology, before I wrote that book, was Robbins, and of course, it did strike an enormous chord, and became an instant best seller… It's been translated into about 20 foreign languages, and, of course, then there's an American edition, which was changed

quite dramatically, but at the beginning it was almost the same. The English one, plus its translations, the ones I really liked, probably 2-3 million, and the American one, something the same. (p 8)

3: Canadian American Free Trade

We went to Toronto, and I became Senior Economic Advisor to the C.D. Howe Institute. And I was very lucky, because at that time the whole issue of free trade with the United States had just come up, and I'd been asked to write an article on the Canadian/American relations for an American book that was just coming out. In the process of that, I came to the conclusion that our trade was really under threat from American protectionism, and since it's 80% of all our trade, that we really had to protect it by some kind of a Free Trade Agreement – which was absolutely unheard of in Canada. They didn't even think it of it, it was supposed to be political. So I wrote a book, and it became quite popular in Ottawa, arguing that we really had to consider a Free Trade Agreement with the United States, and within a year, such an Agreement was discussed.

Then it became an enormous political football. It was a great debate in Canada, where people said, "It's the end of the world. The country's coming to an end". A very famous person said, "Ten years from now, we'll all be the 51st State". And I kept arguing that a little more trade with America wasn't going to make us not Canadian. And so I spent, oh, four years I wrote two more books on it. I wrote 30 pamphlets. I must have appeared on the radio and the television 200 different times, because I was right in the thick of this great Free Trade debate. And finally it came down to an election. The opposition, naturally, was opposed to it, and the party in power was for the Free Trade Agreement. And I bought a bottle of Dom Perignon, and I sat it on the television set, and I said, "At the end of tonight, it's either going down the drain unopened, down the chute, or we're going to all get drunk on it!" And they won the election, so that was my moment of history. That's the time that I actually made a difference. I played a big part in that. So that's what I did in the eighties. It was all applied. It was all using economics, but for policy. (p 28-29)